

banking technology to move money into, and withdraw money from, FDs without going through the painful process of filling out the form at the branch.

This is your entry-level product – setting up an FD with your emergency money in it. If you are banking with a bank that allows flexi-FDs that allow you to sweep out just the amount you need, rather than breaking the entire deposit, go for that. Else split your emergency fund into smaller FDs so that you don't have to lose the interest on the entire deposit.

People familiar with mutual funds can use what are called short-term debt funds to build an emergency fund. We'll talk about mutual funds in greater detail in [Chapter 9](#), but at this stage you just need to know that mutual funds have many kinds of products and some of these are suited for needs such as an emergency fund. But if you are not familiar with funds, stay with the FD.

Understand debt mutual fund products before you begin to use it for an emergency fund. There are several advantages to this product. It earns you a better return, is more liquid than an FD and can have a lower tax incidence than an FD if you plan its use well. The higher post-tax return as compared to a bank FD makes a debt fund a great choice for an emergency fund. I know some investors who, once having understood mutual funds, moved to a balanced fund with a small equity exposure as their emergency fund. But let's wait for that conversation a bit later.

Rs 6 lakhs sounds like a lot of money for a person with a Rs 50,000 monthly expenditure, but this is the first investment you make. Set yourself a monthly target for your emergency fund and keep crediting your emergency account each month. Once you get to your target, stop funding it, and we are ready to move to more long-term investments. But before that, we need to secure the seat belt just a bit more – we need our insurances in place.

This is the go-to fund when disaster strikes in the form of a job loss or death. Even if you have a life cover, the money takes time to come, but the ongoing costs don't stop. I can't stress the importance of this fund. It is the difference between